

THE ELEMENTARY
PRACTICES AND
PRINCIPLES OF
ACCOUNTING



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FURTHER READING

ICAEW, Historical accounting literature collection, 1494 and related materials

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Business. an organisation that provides goods or services to customers in order to earn money

Business names one specific idea needed here.

Profit. the money left over when a business has paid all its costs out of the money it earns

Profit names one specific idea needed here.

Loss. the shortfall that results when a business's costs are greater than the money it earns

Loss names one specific idea needed here.

Record. a written note, made at the time, of something that happened and its money value

Record names one specific idea needed here.

Customer. a person or organisation that pays for the goods or services a business provides

Customer names one specific idea needed here.

Supplier. a person or organisation that sells goods or services to a business

Supplier names one specific idea needed here.

Owner. a person who put money into a business and has a claim on what is left after debts are paid

Owner names one specific idea needed here.

Service firm. a business that earns money by doing work for customers instead of selling goods

Service firm names one specific idea needed here.

Merchandising firm. a business that buys finished goods and resells them without changing them

Merchandising firm names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Business, Money and Records addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

1.1 EVERYDAY MONEY AND THE NEED FOR RECORDS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Business** means an organisation that provides goods or services to customers in order to earn money. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Profit** means the money left over when a business has paid all its costs out of the money it earns. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Loss** means the shortfall that results when a business's costs are greater than the money it earns. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Record** means a written note, made at the time, of something that happened and its money value. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Customer** means a person or organisation that pays for the goods or services a business provides. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Supplier** means a person or organisation that sells goods or services to a business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Owner** means a person who put money into a business and has a claim on what is left after debts are paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Service firm** means a business that earns money by doing work for customers instead of selling goods. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Merchandising firm** means a business that buys finished goods and resells them without changing them. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

10.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

10.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

10.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XI · MERCHANDISING COMPANY ACCOUNTS AND CLASSIFIED STATEMENTS

11.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

11.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

11.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

11.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XII · SPECIAL JOURNALS AND THE CASH BOOK

12.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

12.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

12.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

12.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XIII · BANK RECONCILIATION

13.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

13.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

13.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

13.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XIV · INVENTORY

14.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

14.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

14.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

14.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

A changed situation tests whether the rule has been understood.

with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a household month shown as money-in and money-out arrow

FIG. 1.1. a household month shown as money-in and money-out arrows

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

1.2 WHAT BUSINESSES DO

Business and its customers starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Profit and loss starts with a concrete question.

The procedure keeps the idea tied to the facts.

In What Businesses Do, we begin with business and its customers rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In What Businesses Do, we begin with profit and loss rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

ANSWERS TO QUESTIONS

CHAPTER I · BUSINESS, MONEY AND RECORDS

01.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

01.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

01.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

01.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER II · ACCOUNTING, ITS USERS AND ITS RULES

02.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

02.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

02.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

02.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER III · THE ACCOUNTING EQUATION

03.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

03.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

03.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

03.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER IV · A FIRST LOOK AT THE FINANCIAL STATEMENTS

04.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

04.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

04.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

04.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER V · ACCOUNTS, DEBITS AND CREDITS

05.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

05.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

A changed situation tests whether the rule has been understood.

system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

three ownership forms as owner-and-business diagrams

FIG. 1.3. three ownership forms as owner-and-business diagrams

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

Three ways to own a business starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Who answers for what starts with a concrete question.

The procedure keeps the idea tied to the facts.

1.4 SOLE TRADER, PARTNERSHIP AND COMPANY

In Sole Trader, Partnership and Company, we begin with three ways to own a business rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Sole Trader, Partnership and Company, we begin with who answers for what rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

Share. one of the equal parts into which a company's capital is divided The chapter example shows how the term is used in practice. *(Chapter XVIII)*

Share premium. the amount a company receives above par value when it issues a share The chapter example shows how the term is used in practice. *(Chapter XVIII)*

Shareholder. a person or organisation that owns one or more shares in a company The chapter example shows how the term is used in practice. *(Chapter XVIII)*

Sole trader. one person who owns and runs a business and is personally responsible for its debts The chapter example shows how the term is used in practice. *(Chapter I)*

Source document. a paper or electronic proof that a transaction took place, such as an invoice or receipt The chapter example shows how the term is used in practice. *(Chapter III)*

Special journal. a journal used for only one kind of repeated transaction, such as credit purchases The chapter example shows how the term is used in practice. *(Chapter XII)*

Statement of owner's equity. the report that shows how the owner's equity changed during a period The chapter example shows how the term is used in practice. *(Chapter IV)*

Stockout. a shortage that occurs when goods are wanted by customers but none are available The chapter example shows how the term is used in practice. *(Chapter XIV)*

Straight-line method. a method that charges the same depreciation each year The chapter example shows how the term is used in practice. *(Chapter XV)*

Subscription. a regular payment that a member makes to a club The chapter example shows how the term is used in practice. *(Chapter XVI)*

Sum-of-the-years'-digits method. a method that charges more depreciation in early years, using a falling fraction of depreciable cost The chapter example shows how the term is used in practice. *(Chapter XV)*

Supplier. a person or organisation that sells goods or services to a business The chapter example shows how the term is used in practice. *(Chapter I)*

Surplus. the amount by which income is greater than expenditure in a non-trading concern The chapter example shows how the term is used in practice. *(Chapter XVI)*

T-account. a simple drawing of an account, shaped like the letter T, with debits on the left and credits on the right The chapter example shows how the term is used in practice. *(Chapter V)*

Temporary account. an account for revenue, expense or drawings that is closed to zero at the end of each period The chapter example shows how the term is used in practice. *(Chapter X)*

Ten-column worksheet. a worksheet with five pairs of debit and credit columns, from unadjusted trial balance to balance sheet The chapter example shows how the term is used in practice. *(Chapter IX)*

Transaction. an event that has a money value and changes the accounting equation The chapter example shows how the term is used in practice. *(Chapter III)*

THINK IT THROUGH

- 01.T1 What is the central problem that this chapter method is designed to solve?
- 01.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

Clay tokens and tablets of ancient Sumer (about 3200 BC) used to record grain and livestock. Search: Uruk clay tablets earliest accounting records. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 01.R1 State the main rule in your own words and apply it to a new small example.
- 01.R2 What check would you perform before accepting the result?

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

Normal balance. the side of an account, debit or credit, on which its increases are recorded The chapter example shows how the term is used in practice. (Chapter V)

Operating expense. a cost of running the business apart from the cost of goods sold The chapter example shows how the term is used in practice. (Chapter XI)

Ordinary share. a share that carries the right to vote and to receive the profit left after other claims The chapter example shows how the term is used in practice. (Chapter XVIII)

Outstanding cheque. a cheque the firm has written and recorded but the bank has not yet paid The chapter example shows how the term is used in practice. (Chapter XIII)

Owner. a person who put money into a business and has a claim on what is left after debts are paid The chapter example shows how the term is used in practice. (Chapter I)

Owner's equity. the owner's claim on the business: what is left when liabilities are taken from assets The chapter example shows how the term is used in practice. (Chapter III)

Par value. the face value printed on a share The chapter example shows how the term is used in practice. (Chapter XVIII)

Partnership. a business owned by two or more people who agree to share its profit The chapter example shows how the term is used in practice. (Chapter I)

Partnership deed. the written agreement among partners on how the business is run and profit shared The chapter example shows how the term is used in practice. (Chapter XVI)

Percentage. a number written as a part out of one hundred The chapter example shows how the term is used in practice. (Appendix A)

Percentage change. the size of an increase or decrease shown as a percentage of the starting figure The chapter example shows how the term is used in practice. (Appendix A)

Period cost. a cost of running the business that is charged to the period in which it occurs The chapter example shows how the term is used in practice. (Chapter XI)

Permanent account. an account for an asset, liability or owner's capital whose balance carries into the next period The chapter example shows how the term is used in practice. (Chapter X)

Plant asset. a long-lived physical asset, such as equipment or a building, used in running the business The chapter example shows how the term is used in practice. (Chapter XV)

Posting. copying the amounts from journal entries into the proper ledger accounts The chapter example shows how the term is used in practice. (Chapter VI)

Preference share. a share that has a right to a fixed dividend before ordinary shareholders are paid The chapter example shows how the term is used in practice. (Chapter XVIII)

Prepaid expense. a cost paid in advance, held as an asset until its benefit is used up The chapter example shows how the term is used in practice. (Chapter VIII)

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Accounting. the process of recording, sorting, summarising and reporting the money events of a business

Accounting names one specific idea needed here.

Financial accounting. accounting that prepares reports on a business for people outside it, such as banks and tax officers

Financial accounting names one specific idea needed here.

Management accounting. accounting that gives a business's own managers the information they need to plan and decide

Management accounting names one specific idea needed here.

Cost accounting. accounting that works out what it costs to make a product or provide a service

Cost accounting names one specific idea needed here.

User of accounting information. any person or group that reads accounting reports in order to make a decision

User of accounting information names one specific idea needed here.

Business entity concept. the rule that a business is kept separate from its owner when records are made

Business entity concept names one specific idea needed here.

Going concern concept. the assumption that a business will continue to operate for the foreseeable future

Going concern concept names one specific idea needed here.

Money measurement concept. the rule that only events that can be stated in money are recorded

Money measurement concept names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Accounting, Its Users and Its Rules addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

2.1 WHAT ACCOUNTING IS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Accounting** means the process of recording, sorting, summarising and reporting the money events of a business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Financial accounting** means accounting that prepares reports on a business for people outside it, such as banks and tax officers. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Management accounting** means accounting that gives a business's own managers the information they need to plan and decide. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cost accounting** means accounting that works out what it costs to make a product or provide a service. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **User of accounting information** means any person or group that reads accounting reports in order to make a decision. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Business entity concept** means the rule that a business is kept separate from its owner when records are made. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Going concern concept** means the assumption that a business will continue to operate for the foreseeable future. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Money measurement concept** means the rule that only events that can be stated in money are recorded. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

Fiscal year. a twelve-month accounting period that can start in any month, such as 1 July to 30 June The chapter example shows how the term is used in practice. (Chapter IV)

Folio. a page or reference number used to link a journal entry with its ledger account The chapter example shows how the term is used in practice. (Chapter VI)

Footing. adding up a column of figures to get its total The chapter example shows how the term is used in practice. (Chapter IX)

Freight-in. the cost of carrying purchased goods to the firm's premises The chapter example shows how the term is used in practice. (Chapter XI)

General journal. the journal used for transactions that no special journal covers The chapter example shows how the term is used in practice. (Chapter XII)

Generally accepted accounting principles. the body of agreed rules that businesses follow when they prepare accounts The chapter example shows how the term is used in practice. (Chapter II)

Going concern concept. the assumption that a business will continue to operate for the foreseeable future The chapter example shows how the term is used in practice. (Chapter II)

Gross profit. net sales less cost of goods sold The chapter example shows how the term is used in practice. (Chapter XI)

Historical cost concept. the rule that an asset is recorded at the price actually paid for it The chapter example shows how the term is used in practice. (Chapter II)

Income and expenditure account. the report of a non-trading concern that matches income and costs to the period, like an income statement The chapter example shows how the term is used in practice. (Chapter XVI)

Income statement. the report that shows revenue, expenses and the resulting net income or net loss for a period The chapter example shows how the term is used in practice. (Chapter IV)

Income summary. a temporary account that collects revenue and expenses before the net result moves to capital The chapter example shows how the term is used in practice. (Chapter X)

Interest on capital. an agreed payment to a partner for the capital put into the business The chapter example shows how the term is used in practice. (Chapter XVI)

Interim period. a period shorter than a year, such as a month or quarter, for which reports are prepared The chapter example shows how the term is used in practice. (Chapter IV)

Inventory. goods a business holds for sale, or materials and part-made goods it holds to make products The chapter example shows how the term is used in practice. (Chapter XIV)

Invoice. a document sent by a seller stating the goods or services supplied and the amount due The chapter example shows how the term is used in practice. (Chapter XII)

Journal. the book in which each transaction is first recorded, in date order The chapter example shows how the term is used in practice. (Chapter VI)

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the four jobs of accounting as a flow from event to rep

FIG. 2.1. the four jobs of accounting as a flow from event to report

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

2.2 BRANCHES OF ACCOUNTING

In Branches of Accounting, we begin with financial, management and cost accounting rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Financial, management and cost accounting starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Cash disbursements journal. the special journal for all money paid out The chapter example shows how the term is used in practice. (Chapter XII)

Cash distribution schedule. a table that shows how cash is paid out to creditors and partners step by step The chapter example shows how the term is used in practice. (Chapter XVII)

Cash receipts journal. the special journal for all money received The chapter example shows how the term is used in practice. (Chapter XII)

Chart of accounts. the numbered list of all the accounts a business uses The chapter example shows how the term is used in practice. (Chapter V)

Classified balance sheet. a balance sheet that groups assets and liabilities into current and non-current sections The chapter example shows how the term is used in practice. (Chapter XI)

Classified income statement. an income statement that groups items into sections such as sales, cost of goods sold and operating expenses The chapter example shows how the term is used in practice. (Chapter XI)

Closing entry. a journal entry at the end of a period that moves a temporary account's balance to equity The chapter example shows how the term is used in practice. (Chapter X)

Company. a business that the law treats as a separate person, owned through shares The chapter example shows how the term is used in practice. (Chapter I)

Compensating error. two mistakes of equal size on opposite sides that cancel each other out The chapter example shows how the term is used in practice. (Chapter VII)

Compound entry. a journal entry that affects more than two accounts The chapter example shows how the term is used in practice. (Chapter VI)

Contra account. an account that is deducted from a related account and has the opposite normal balance The chapter example shows how the term is used in practice. (Chapter VIII)

Cost accounting. accounting that works out what it costs to make a product or provide a service The chapter example shows how the term is used in practice. (Chapter II)

Cost flow assumption. a rule that decides which purchase costs are assigned to goods sold and which to goods still held The chapter example shows how the term is used in practice. (Chapter XIV)

Cost of goods sold. the cost of the goods that were sold during the period The chapter example shows how the term is used in practice. (Chapter XI)

Credit. an entry on the right side of an account The chapter example shows how the term is used in practice. (Chapter V)

Credit memo. a bank notice that it has added money to the firm's account, for example a direct customer payment The chapter example shows how the term is used in practice. (Chapter XIII)

Current asset. an asset expected to be turned into cash or used within one year The chapter example shows how the term is used in practice. (Chapter XI)

Current liability. a debt due for payment within one year The chapter example shows how the term is used in practice. (Chapter XI)

Customer. a person or organisation that pays for the goods or services a business

What each user needs to know starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Accounting concepts starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Accounting standards starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why standards are necessary starts with a concrete question.

The procedure keeps the idea tied to the facts.

In Who Uses Accounting Information, we begin with what each user needs to know rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

2.4 PRINCIPLES, STANDARDS AND THE LANGUAGE OF BUSINESS

In Principles, Standards and the Language of Business, we begin with accounting concepts rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Principles, Standards and the Language of Business, we begin with accounting standards rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Principles, Standards and the Language of Business, we begin with why standards are necessary rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

GLOSSARY

Account. a record of the increases and decreases in one kind of item, such as Cash or Wages Expense The chapter example shows how the term is used in practice. (*Chapter V*)

Account balance. the difference between the total debits and the total credits in an account The chapter example shows how the term is used in practice. (*Chapter V*)

Account payable. an amount the business owes a supplier for goods or services already received The chapter example shows how the term is used in practice. (*Chapter III*)

Account receivable. an amount a customer owes the business for goods or services already provided The chapter example shows how the term is used in practice. (*Chapter III*)

Accounting. the process of recording, sorting, summarising and reporting the money events of a business The chapter example shows how the term is used in practice. (*Chapter II*)

Accounting cycle. the full set of steps from recording a transaction to preparing the next period's opening records The chapter example shows how the term is used in practice. (*Chapter VII*)

Accounting equation. the statement that assets always equal liabilities plus owner's equity The chapter example shows how the term is used in practice. (*Chapter III*)

Accounting period. the stretch of time, such as a month or a year, covered by one set of reports The chapter example shows how the term is used in practice. (*Chapter IV*)

Accounting standard. a detailed rule, issued by an official body, on how a type of item must be recorded and reported The chapter example shows how the term is used in practice. (*Chapter II*)

Accrual basis. the method of recording revenue when it is earned and expenses when they are incurred, whatever the cash timing The chapter example shows how the term is used in practice. (*Chapter VIII*)

Accrued expense. a cost already incurred in the period but not yet paid or recorded The chapter example shows how the term is used in practice. (*Chapter VIII*)

Accrued revenue. revenue earned in the period but not yet received or billed The chapter example shows how the term is used in practice. (*Chapter VIII*)

Accumulated depreciation. the total depreciation charged on an asset since it was bought The chapter example shows how the term is used in practice. (*Chapter VIII*)

Adjusted cash balance. the correct bank balance after all reconciling items have been included The chapter example shows how the term is used in practice. (*Chapter XIII*)

Adjusted trial balance. a trial balance prepared after the adjusting entries have been posted The chapter example shows how the term is used in practice. (*Chapter VIII*)

Adjusting entry. a journal entry made at the end of a period to bring an account up to its correct amount The chapter example shows how the term is used in practice. (*Chapter VIII*)

examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

02.T1 What is the central problem that this chapter method is designed to solve?

02.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The International Accounting Standards Committee was founded in 1973 by professional bodies from several countries and was replaced by the International Accounting Standards Board in 2001. Search: IASC founded 1973 IASB 2001. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

02.R1 State the main rule in your own words and apply it to a new small example.

02.R2 What check would you perform before accepting the result?

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

working. Estimate the result first, then calculate it exactly and compare the two results.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

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Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

A short numerical check prevents an avoidable arithmetic error.

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A short numerical check prevents an avoidable arithmetic error.

A short numerical check prevents an avoidable arithmetic error.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Asset. something of value that a business owns or is owed, such as cash, equipment or money owed by customers

Asset names one specific idea needed here.

Liability. an amount that a business owes to someone outside the business

Liability names one specific idea needed here.

Owner's equity. the owner's claim on the business: what is left when liabilities are taken from assets

Owner's equity names one specific idea needed here.

Accounting equation. the statement that assets always equal liabilities plus owner's equity
Accounting equation names one specific idea needed here.

Revenue. the price of goods sold or services provided to customers in a period

Revenue names one specific idea needed here.

Expense. a cost of running the business that is used up in earning revenue

Expense names one specific idea needed here.

Net income. the amount by which revenue is greater than expenses in a period

Net income names one specific idea needed here.

Net loss. the amount by which expenses are greater than revenue in a period

Net loss names one specific idea needed here.

Drawings. money or goods the owner takes out of the business for personal use

Drawings names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. The Accounting Equation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

3.1 ASSETS, LIABILITIES AND OWNER'S EQUITY

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Asset** means something of value that a business owns or is owed, such as cash, equipment or money owed by customers. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Liability** means an amount that a business owes to someone outside the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Owner's equity** means the owner's claim on the business: what is left when liabilities are taken from assets. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting equation** means the statement that assets always equal liabilities plus owner's equity. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Revenue** means the price of goods sold or services provided to customers in a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Expense** means a cost of running the business that is used up in earning revenue. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Net income** means the amount by which revenue is greater than expenses in a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Net loss** means the amount by which expenses are greater than revenue in a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Drawings** means money or goods the owner takes out of the business for personal use. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

Maths You Will Use



The figure shows the same relationship in a compact visual form.

Revenue and expenses change equity starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Drawings starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the accounting equation as a balance scale

FIG. 3.1. the accounting equation as a balance scale

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

3.2 INCOME, EXPENSES AND WITHDRAWALS

In Income, Expenses and Withdrawals, we begin with revenue and expenses change equity rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Income, Expenses and Withdrawals, we begin with drawings rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Company Accounting and Shares is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

18.T1 What is the central problem that this chapter method is designed to solve?

18.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a running equation table, one row per transaction

FIG. 3.3. a running equation table, one row per transaction

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

3.4 SUMMARISING TRANSACTIONS IN THE EQUATION

In Summarising Transactions in the Equation, we begin with analysing one transaction at a time rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Summarising Transactions in the Equation, we begin with totalling the equation after each transaction rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Analysing one transaction at a time starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Totalling the equation after each transaction starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the stages of issuing a share, with the amount due at e

FIG. 18.2. the stages of issuing a share, with the amount due at each stage

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

18.3 ISSUING SHARES

In Issuing Shares, we begin with application, allotment and calls rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Issuing Shares, we begin with journal entries for each stage rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Application, allotment and calls starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Journal entries for each stage starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

The Accounting Equation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

03.T1 What is the central problem that this chapter method is designed to solve?

03.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The Medici Bank of Florence, founded 1397 by Giovanni di Bicci de' Medici, kept ledgers that listed what the bank owned and owed. Search: Medici Bank ledgers balance 15th century. This note is included as a documented setting in which accounting records or accounting methods had practical consequences.

The term **Allotment** means the company's decision to give shares to applicants, with the payment due on that step. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Call** means a later request to shareholders to pay part of the amount still owed on their shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In *What a Company Is*, we begin with the company as a separate legal person rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In *What a Company Is*, we begin with limited liability rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Allotment, the company's decision to give shares to applicants, with the payment due on that step

Allotment names one specific idea needed here.

Call, a later request to shareholders to pay part of the amount still owed on their shares
Call names one specific idea needed here.

The company as a separate legal person starts with a concrete question.

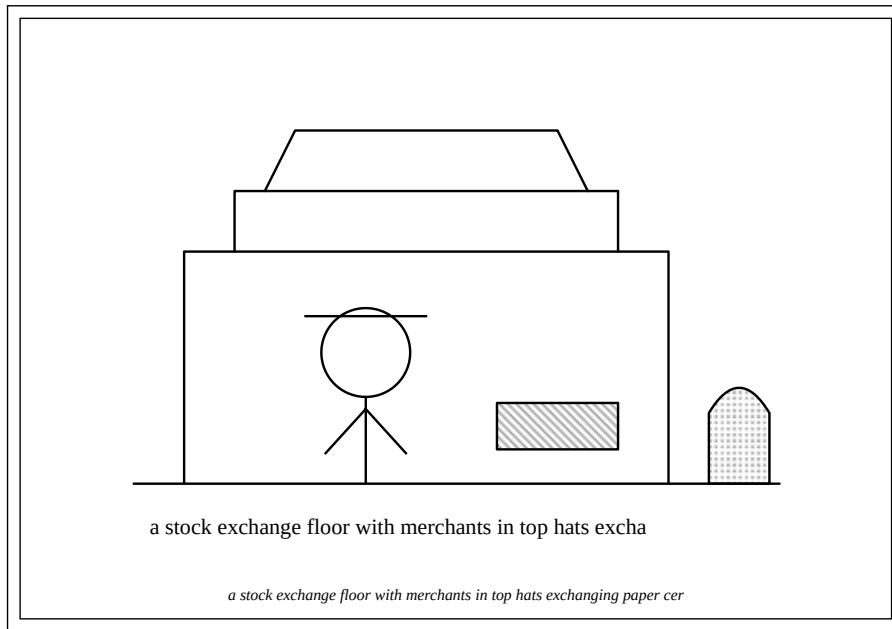
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Limited liability starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



CHAPTER XVIII

Company Accounting and Shares

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Financial statement. a formal report that sums up the money results or position of a business

Financial statement names one specific idea needed here.

Income statement. the report that shows revenue, expenses and the resulting net income or net loss for a period

Income statement names one specific idea needed here.

Statement of owner's equity. the report that shows how the owner's equity changed during a period

Statement of owner's equity names one specific idea needed here.

Balance sheet. the report that lists the assets, liabilities and owner's equity of a business on one date

Balance sheet names one specific idea needed here.

Accounting period. the stretch of time, such as a month or a year, covered by one set of reports

Accounting period names one specific idea needed here.

Fiscal year. a twelve-month accounting period that can start in any month, such as 1 July to 30 June

Fiscal year names one specific idea needed here.

Calendar year. the twelve months from 1 January to 31 December

Calendar year names one specific idea needed here.

Interim period. a period shorter than a year, such as a month or quarter, for which reports are prepared

Interim period names one specific idea needed here.

Revenue, expenses and net income laid out starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. A First Look at the Financial Statements addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

4.1 THE INCOME STATEMENT

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Financial statement** means a formal report that sums up the money results or position of a business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Income statement** means the report that shows revenue, expenses and the resulting net income or net loss for a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Statement of owner's equity** means the report that shows how the owner's equity changed during a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Balance sheet** means the report that lists the assets, liabilities and owner's equity of a business on one date. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting period** means the stretch of time, such as a month or a year, covered by one set of reports. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Fiscal year** means a twelve-month accounting period that can start in any month, such as 1 July to 30 June. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Calendar year** means the twelve months from 1 January to 31 December. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Interim period** means a period shorter than a year, such as a month or quarter, for which reports are prepared. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In The Income Statement, we begin with revenue, expenses and net income laid out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Partnership Liquidation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The closing capital figure starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Statement of Owner's Equity, we begin with the closing capital figure rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

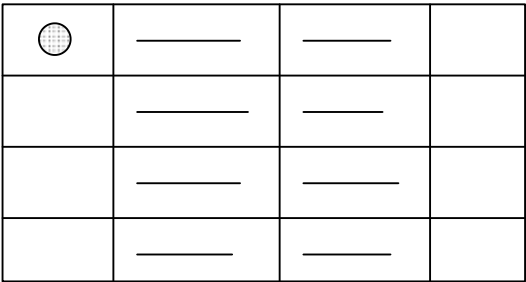


FIG. 4.2. one month, one quarter and one year on a timeline

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

4.3 THE BALANCE SHEET

In The Balance Sheet, we begin with assets on one side, claims on the other rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. A planning exercise on 31 March 2026: the partners Karim and Imran Meghna study what would happen if the partnership were closed. Balance sheet: cash Tk 100,000; non-cash assets Tk 800,000; liabilities Tk 300,000; capital Karim Tk 450,000 and Imran Tk 150,000 (Tk 900,000 each side). Losses are shared 2:1. By code: (A) non-cash assets sold for Tk 590,000, loss Tk 210,000 (Karim Tk 140,000; Imran Tk 70,000); cash Tk 690,000, after paying liabilities Tk 390,000 is shared: Karim Tk 310,000; Imran Tk 80,000. (B) assets sold for Tk 320,000, loss Tk 480,000 (Karim Tk 320,000; Imran Tk 160,000); Imran's capital falls to a deficiency of Tk 10,000, which he pays in cash, so Karim receives Tk 130,000. (C) as (B) but Imran cannot pay; Karim absorbs the Tk 10,000 and receives Tk 120,000. The firm in fact continued.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Figures from the month ended 31 January 2022, with no adjustments yet. Revenue Tk 215,000 (binding work for cash Tk 95,000 and on account Tk 120,000). Expenses Tk 48,000 (wages Tk 40,000; utilities Tk 8,000). Net income Tk 167,000. Owner's equity: capital Tk 600,000 at 2 January, plus net income Tk 167,000, less drawings Tk 20,000, equals Tk 747,000. Assets at 31 January: cash Tk 567,000; accounts receivable Tk 50,000; equipment Tk 150,000; total Tk 767,000. Liabilities: accounts payable Tk 20,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the order of payment in a liquidation as a stair of thr

FIG. 17.1. the order of payment in a liquidation as a stair of three steps

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

17.2 SELLING ASSETS AND PAYING CREDITORS

In Selling Assets and Paying Creditors, we begin with realisation of non-cash assets and the loss on realisation rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Selling Assets and Paying Creditors, we begin with paying liabilities before partners rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Realisation of non-cash assets and the loss on realisation starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

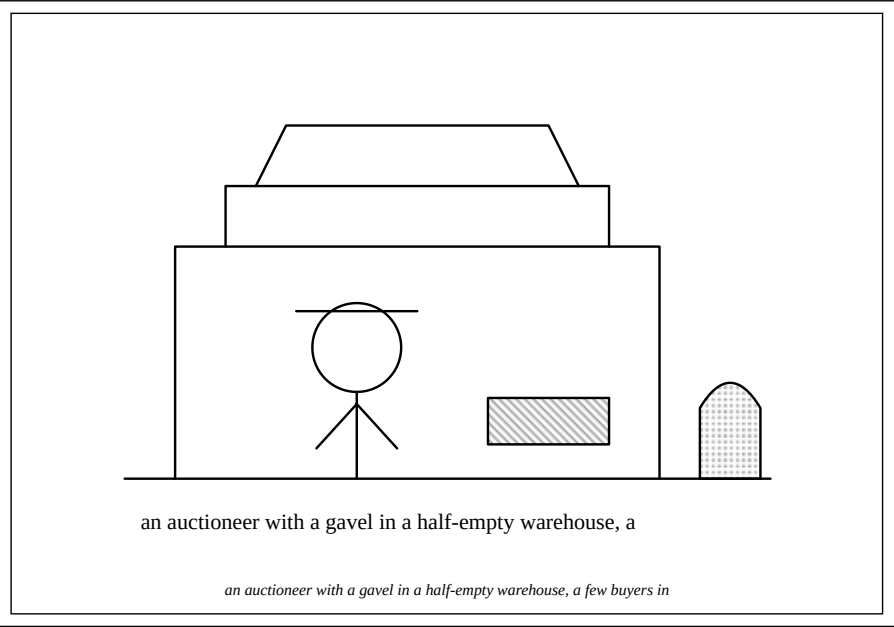
Paying liabilities before partners starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

REVIEW QUESTIONS

- 04.R1 State the main rule in your own words and apply it to a new small example.
- 04.R2 What check would you perform before accepting the result?



CHAPTER XVII

Partnership Liquidation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Account. a record of the increases and decreases in one kind of item, such as Cash or Wages Expense

Account names one specific idea needed here.

Chart of accounts. the numbered list of all the accounts a business uses

Chart of accounts names one specific idea needed here.

Debit. an entry on the left side of an account

Debit names one specific idea needed here.

Credit. an entry on the right side of an account

Credit names one specific idea needed here.

Normal balance. the side of an account, debit or credit, on which its increases are recorded

Normal balance names one specific idea needed here.

Double-entry system. the method in which every transaction is recorded as equal debits and credits in at least two accounts

Double-entry system names one specific idea needed here.

T-account. a simple drawing of an account, shaped like the letter T, with debits on the left and credits on the right

T-account names one specific idea needed here.

Account balance. the difference between the total debits and the total credits in an account

Account balance names one specific idea needed here.

What an account is starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Accounts, Debits and Credits addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

5.1 THE ACCOUNT AND ITS SIX TYPES

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Account** means a record of the increases and decreases in one kind of item, such as Cash or Wages Expense. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Chart of accounts** means the numbered list of all the accounts a business uses. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Debit** means an entry on the left side of an account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Credit** means an entry on the right side of an account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Normal balance** means the side of an account, debit or credit, on which its increases are recorded. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Double-entry system** means the method in which every transaction is recorded as equal debits and credits in at least two accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **T-account** means a simple drawing of an account, shaped like the letter T, with debits on the left and credits on the right. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Account balance** means the difference between the total debits and the total credits in an account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In The Account and Its Six Types, we begin with what an account is rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

BRAC, a non-profit organisation, was founded in 1972 by Fazle Hasan Abed to help refugees returning to Bangladesh after the war, and became one of the world's largest non-governmental organisations. Search: BRAC founded 1972 Fazle Hasan Abed Sulla. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

The historical case shows why careful records matter beyond a textbook example.

REVIEW QUESTIONS

- 16.R1 State the main rule in your own words and apply it to a new small example.
- 16.R2 What check would you perform before accepting the result?

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Normal balance starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Debit and Credit, we begin with normal balance rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a table of the six account types with their increase side

FIG. 5.2. a table of the six account types with their increase side

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

5.3 DOUBLE ENTRY IN PRACTICE

In Double Entry in Practice, we begin with every transaction has two sides rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The figure shows the same relationship in a compact visual form.

Every transaction has two sides starts with a concrete question.

numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. January 2022 transactions: 2 Jan owner Karim Meghna invests cash Tk 600,000; 3 Jan buys binding equipment Tk 150,000, paying Tk 100,000 cash and owing Tk 50,000 to Dhaka Machine Works; 8 Jan binding work for cash Tk 95,000; 12 Jan binding work for a school on account Tk 120,000; 20 Jan collects Tk 70,000 from the school; 22 Jan pays Tk 30,000 to Dhaka Machine Works; 25 Jan pays wages Tk 40,000; 28 Jan pays utilities Tk 8,000; 31 Jan owner withdraws Tk 20,000. Six account types used: assets (Cash, Accounts Receivable, Equipment); liabilities (Accounts Payable); owner's equity (Owner's Capital); drawings (Owner's Drawings); revenue (Service Revenue); expenses (Wages Expense, Utilities Expense). Account balances by code at 31 January: Cash Tk 567,000 debit; Accounts Receivable Tk 50,000 debit; Equipment Tk 150,000 debit; Accounts Payable Tk 20,000 credit; Owner's Capital Tk 600,000 credit; Owner's Drawings Tk 20,000 debit; Service Revenue Tk 215,000 credit; Wages Expense Tk 40,000 debit; Utilities Expense Tk 8,000 debit.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the order of a profit appropriation account

FIG. 16.2. the order of a profit appropriation account

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

16.3 SHARING PROFIT AND PARTNERS' CAPITAL

In Sharing Profit and Partners' Capital, we begin with profit-sharing ratio, interest and salary rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Sharing Profit and Partners' Capital, we begin with the appropriation account and partners' balances rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Profit-sharing ratio, interest and salary starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The appropriation account and partners' balances starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Accounts, Debits and Credits is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

05.T1 What is the central problem that this chapter method is designed to solve?

05.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

Luca Pacioli's Summa de arithmetica, printed in Venice in 1494, contained a treatise that described double-entry bookkeeping as used by Venetian merchants. Search: Pacioli Summa 1494 double entry treatise. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

The term **Interest on capital** means an agreed payment to a partner for the capital put into the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Appropriation account** means the account that shows how a partnership's profit is divided among the partners. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Non-Trading Concerns, we begin with receipts and payments account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Non-Trading Concerns, we begin with income and expenditure account and surplus rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Interest on capital. an agreed payment to a partner for the capital put into the business

Interest on capital names one specific idea needed here.

Appropriation account. the account that shows how a partnership's profit is divided among the partners

Appropriation account names one specific idea needed here.

Receipts and payments account starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Income and expenditure account and surplus starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Journal. the book in which each transaction is first recorded, in date order

Journal names one specific idea needed here.

Journal entry. one recorded transaction, showing the accounts debited and credited and the amounts

Journal entry names one specific idea needed here.

Compound entry. a journal entry that affects more than two accounts

Compound entry names one specific idea needed here.

Narration. a short written explanation placed under a journal entry

Narration names one specific idea needed here.

Ledger. the complete set of accounts of a business, kept together

Ledger names one specific idea needed here.

Posting. copying the amounts from journal entries into the proper ledger accounts

Posting names one specific idea needed here.

Folio. a page or reference number used to link a journal entry with its ledger account

Folio names one specific idea needed here.

Layout of a journal entry starts with a concrete question.

The procedure keeps the idea tied to the facts.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Journal and Ledger addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

6.1 THE JOURNAL AND JOURNAL ENTRIES

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Journal** means the book in which each transaction is first recorded, in date order. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Journal entry** means one recorded transaction, showing the accounts debited and credited and the amounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Compound entry** means a journal entry that affects more than two accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Narration** means a short written explanation placed under a journal entry. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

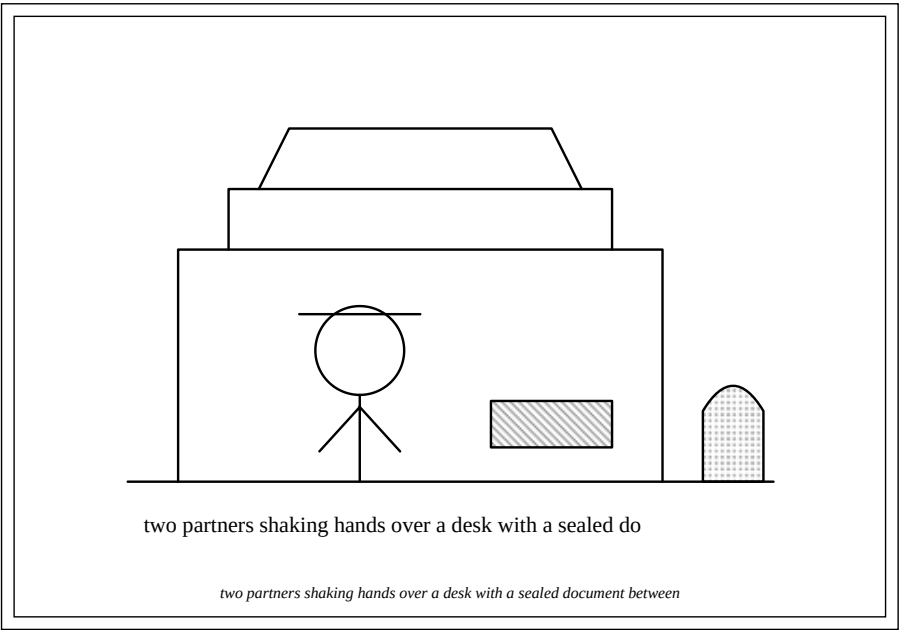
The term **Ledger** means the complete set of accounts of a business, kept together. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Posting** means copying the amounts from journal entries into the proper ledger accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Folio** means a page or reference number used to link a journal entry with its ledger account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In The Journal and Journal Entries, we begin with layout of a journal entry rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.



CHAPTER XVI

Non-Trading Concerns and Partnership Accounts

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A changed situation tests whether the rule has been understood.

Posting step by step and cross-referencing starts with a concrete question.

The procedure keeps the idea tied to the facts.

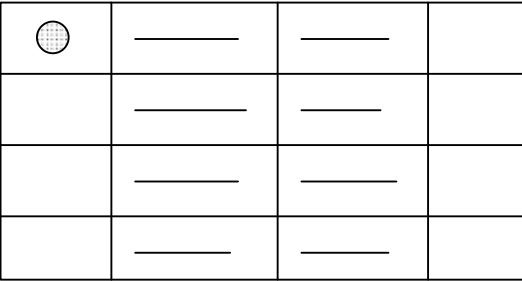
A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Ledger and Posting, we begin with posting step by step and cross-referencing rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



an arrow from journal entry to the ledger accounts it f

FIG. 6.2. an arrow from journal entry to the ledger accounts it feeds

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

WORKED CYCLE OF ENTRIES

In Worked Cycle of Entries, we begin with a month from journal to ledger balances rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

* * *

15.5 SCHEDULES, DISPOSAL AND STATEMENT PRESENTATION

In Schedules, Disposal and Statement Presentation, we begin with depreciation schedule and balance sheet presentation rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Schedules, Disposal and Statement Presentation, we begin with selling a plant asset at a gain or a loss rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. On 1 January 2023 the firm bought an automatic binding machine for Tk 480,000 and paid Tk 20,000 for delivery and installation, total cost Tk 500,000. Useful life 5 years; residual value Tk 50,000; depreciable cost Tk 450,000. By code, straight-line Tk 90,000 a year. Sum of the years' digits (15): Tk 150,000; Tk 120,000; Tk 90,000; Tk 60,000; Tk 30,000. Units of production: expected output 900,000 books bound, Tk 0.50 a book; output 200,000 in 2023, 250,000 in 2024, 180,000 in 2025, giving Tk 100,000; Tk 125,000; Tk 90,000. Under straight-line, accumulated depreciation at 31 December 2025 is Tk 270,000 and book value Tk 230,000. The machine was sold on 31 December 2025 for Tk 190,000, a loss of Tk 40,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Depreciation schedule and balance sheet presentation starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Selling a plant asset at a gain or a loss starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

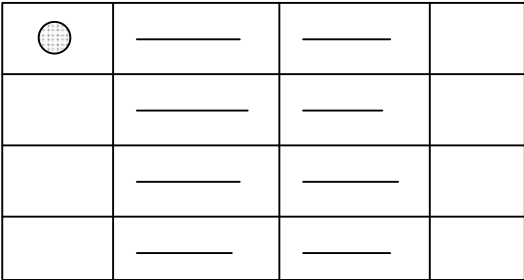
A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.



book value falling year by year on one axis

FIG. 15.2. book value falling year by year on one axis

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

15.3 STRAIGHT-LINE AND UNITS OF PRODUCTION

In Straight-Line and Units of Production, we begin with straight-line method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Straight-Line and Units of Production, we begin with units-of-production method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Straight-line method starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Units-of-production method starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

THINK IT THROUGH

- 06.T1 What is the central problem that this chapter method is designed to solve?
- 06.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The ledger of Giovanni Farolfi and Company, kept 1299 to 1300 at Salon-de-Provence, is one of the oldest known surviving double-entry ledgers. Search: Farolfi ledger 1299 double entry earliest. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 06.R1 State the main rule in your own words and apply it to a new small example.
- 06.R2 What check would you perform before accepting the result?

The term **Book value** means an asset's cost less its accumulated depreciation. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Depreciation schedule** means a table showing the depreciation, accumulated depreciation and book value for each year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Nature and Cost of Plant Assets, we begin with what a plant asset is rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Nature and Cost of Plant Assets, we begin with what goes into its cost rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Book value. an asset's cost less its accumulated depreciation

Book value names one specific idea needed here.

Depreciation schedule. a table showing the depreciation, accumulated depreciation and book value for each year

Depreciation schedule names one specific idea needed here.

What a plant asset is starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

What goes into its cost starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Trial balance. a list of all ledger account balances showing that total debits equal total credits

Trial balance names one specific idea needed here.

Transposition error. a mistake in which two digits of a number are written in the wrong order

Transposition error names one specific idea needed here.

Error of omission. a mistake in which a transaction, or one side of it, is left out of the records

Error of omission names one specific idea needed here.

Compensating error. two mistakes of equal size on opposite sides that cancel each other out

Compensating error names one specific idea needed here.

Accounting cycle. the full set of steps from recording a transaction to preparing the next period's opening records

Accounting cycle names one specific idea needed here.

Listing ledger balances in two columns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

What equal totals do and do not prove starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. The Trial Balance and the Accounting Cycle addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

7.1 PREPARING A TRIAL BALANCE

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Trial balance** means a list of all ledger account balances showing that total debits equal total credits. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Transposition error** means a mistake in which two digits of a number are written in the wrong order. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Error of omission** means a mistake in which a transaction, or one side of it, is left out of the records. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Compensating error** means two mistakes of equal size on opposite sides that cancel each other out. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting cycle** means the full set of steps from recording a transaction to preparing the next period's opening records. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Preparing a Trial Balance, we begin with listing ledger balances in two columns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Preparing a Trial Balance, we begin with what equal totals do and do not prove rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method. Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the accounting cycle as a circle of steps

FIG. 7.2. the accounting cycle as a circle of steps

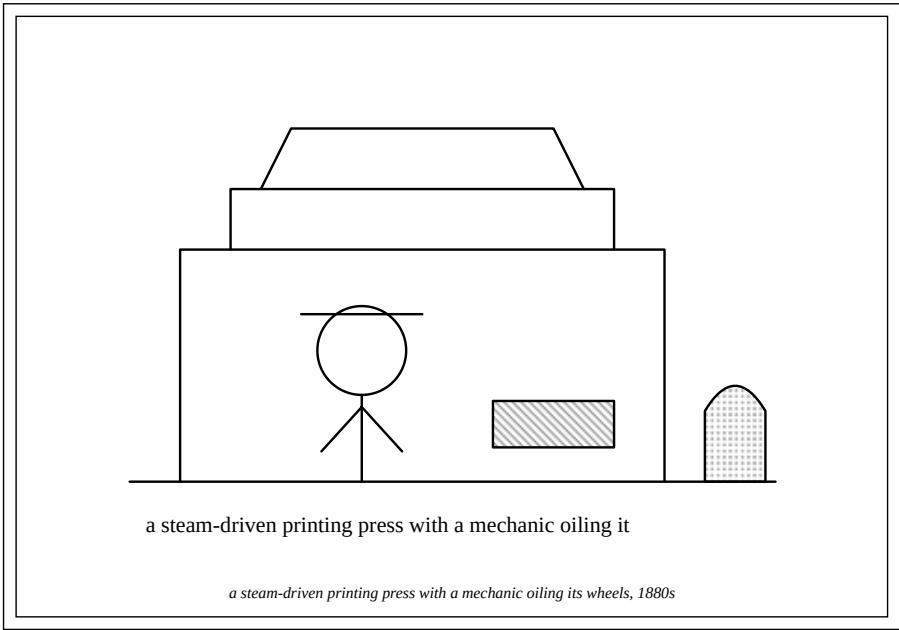
The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

7.3 STEPS OF THE ACCOUNTING CYCLE

In Steps of the Accounting Cycle, we begin with the cycle from transaction to closing rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time. Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method. Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea. In Steps of the Accounting Cycle, we begin with where each later chapter fits rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.



Plant Assets and Depreciation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The cycle from transaction to closing starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Where each later chapter fits starts with a concrete question.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Inventory is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

14.T1 What is the central problem that this chapter method is designed to solve?

14.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

In April 2001 Cisco announced a write-down of about US\$2.25 billion on excess inventory after demand for its equipment fell. Search: Cisco April 2001 inventory write-down excess. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. October 2024, one title, a first-year Business Mathematics textbook, periodic system. Opening inventory 1 October: 100 units at Tk 400. Purchases: 8 October 200 units at Tk 430; 16 October 150 units at Tk 450; 25 October 50 units at Tk 460. Sales in October: 380 units at Tk 700 each, total Tk 266,000. By code: goods available 500 units, Tk 216,500; ending inventory 120 units. FIFO: ending inventory Tk 54,500; cost of goods sold Tk 162,000; gross profit Tk 104,000. LIFO: ending inventory Tk 48,600; cost of goods sold Tk 167,900; gross profit Tk 98,100. Weighted average cost Tk 433 per unit: ending inventory Tk 51,960; cost of goods sold Tk 164,540; gross profit Tk 101,460. Note: IAS 2 does not permit LIFO, so teach it as a concept and say so.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

07.R2 What check would you perform before accepting the result?

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In FIFO, we begin with ending inventory under fifo rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a timeline of purchases and sales for the textbook

FIG. 14.3. a timeline of purchases and sales for the textbook

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

14.4 LIFO AND WEIGHTED AVERAGE

In LIFO and Weighted Average, we begin with last-in, first-out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Ending inventory under FIFO starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Last-in, first-out starts with a concrete question.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Adjusting entry. a journal entry made at the end of a period to bring an account up to its correct amount

Adjusting entry names one specific idea needed here.

Cash basis. the method of recording revenue and expenses only when cash is received or paid

Cash basis names one specific idea needed here.

Accrual basis. the method of recording revenue when it is earned and expenses when they are incurred, whatever the cash timing

Accrual basis names one specific idea needed here.

Matching principle. the rule that expenses are recorded in the same period as the revenue they helped to earn

Matching principle names one specific idea needed here.

Prepaid expense. a cost paid in advance, held as an asset until its benefit is used up

Prepaid expense names one specific idea needed here.

Unearned revenue. money received before the work is done, held as a liability until the work is performed

Unearned revenue names one specific idea needed here.

Accrued expense. a cost already incurred in the period but not yet paid or recorded

Accrued expense names one specific idea needed here.

Accrued revenue. revenue earned in the period but not yet received or billed

Accrued revenue names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Adjusting the Accounts addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

8.1 WHY ACCOUNTS NEED ADJUSTING

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Adjusting entry** means a journal entry made at the end of a period to bring an account up to its correct amount. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash basis** means the method of recording revenue and expenses only when cash is received or paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accrual basis** means the method of recording revenue when it is earned and expenses when they are incurred, whatever the cash timing. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Matching principle** means the rule that expenses are recorded in the same period as the revenue they helped to earn. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Prepaid expense** means a cost paid in advance, held as an asset until its benefit is used up. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Unearned revenue** means money received before the work is done, held as a liability until the work is performed. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accrued expense** means a cost already incurred in the period but not yet paid or recorded. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accrued revenue** means revenue earned in the period but not yet received or billed. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Ending inventory** means the cost of goods still held at the end of the period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In What Inventory Is and Its Types, we begin with inventory as a current asset rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In What Inventory Is and Its Types, we begin with raw materials, work in process and finished goods rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

layers of inventory by purchase date, with arrows for F

FIG. 14.1. layers of inventory by purchase date, with arrows for FIFO and LIFO

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

Ending inventory. the cost of goods still held at the end of the period

Ending inventory names one specific idea needed here.

Inventory as a current asset starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Raw materials, work in process and finished goods starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a timeline showing a payment made before, and a cost us

FIG. 8.1. a timeline showing a payment made before, and a cost used after, the month-end

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

8.2 PREPAID ITEMS AND UNEARNED REVENUE

In Prepaid Items and Unearned Revenue, we begin with prepaid expenses and supplies used rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Prepaid Items and Unearned Revenue, we begin with unearned revenue earned over time rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Prepaid expenses and supplies used starts with a concrete question.

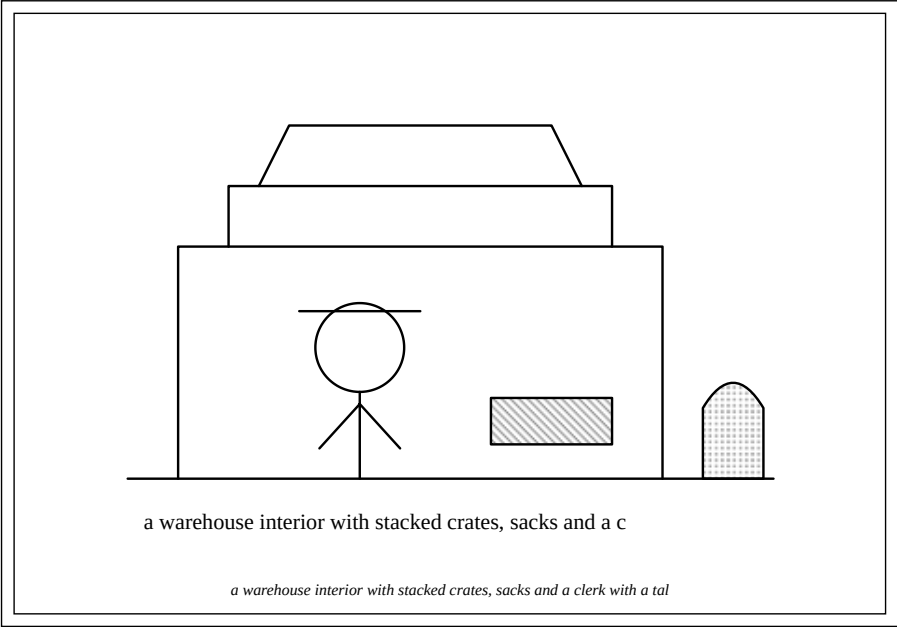
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Unearned revenue earned over time starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



a warehouse interior with stacked crates, sacks and a clerk with a tal

a warehouse interior with stacked crates, sacks and a clerk with a tal

CHAPTER XIV

Inventory

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

before-and-after trial balance columns for one adjustme

FIG. 8.3. before-and-after trial balance columns for one adjustment

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

8.4 DEPRECIATION AS AN ADJUSTMENT

In Depreciation as an Adjustment, we begin with spreading the cost of equipment over its life rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Depreciation as an Adjustment, we begin with accumulated depreciation as a contra account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Spreading the cost of equipment over its life starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Accumulated depreciation as a contra account starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Service Revenue Tk 232,000 Cr; Wages Expense Tk 49,000; Rent Expense Tk 12,000; Supplies Expense Tk 11,000; Depreciation Expense Tk 1,000. Adjusted totals Tk 902,000 each side.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Preparing the Reconciliation Statement, we begin with journal entries after reconciling rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Cash book balance at 31 May 2024 Tk 313,000 (see May 2024 receipts and payments). Items found when the bank statement arrived: cheque 5004 for Tk 85,000 to Jamuna Distributors not yet presented; the Tk 95,000 received from Green Valley College on 28 May banked on 31 May but not yet shown by the bank; bank charges of Tk 1,500 not yet in the cash book; a direct payment of Tk 8,000 from Notun Library into the bank, not yet in the cash book. By code: adjusted cash book balance Tk 319,500; bank statement balance Tk 309,500.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Journal entries after reconciling starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Adjusting the Accounts is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 08.T1 What is the central problem that this chapter method is designed to solve?
- 08.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

In September 2014 the British supermarket group Tesco announced that its profit had been overstated, because income from suppliers had been recorded too early. Search: Tesco 2014 profit overstatement supplier income timing. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 08.R1 State the main rule in your own words and apply it to a new small example.
- 08.R2 What check would you perform before accepting the result?

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Cash Book and Bank Statement, we begin with why the balances rarely agree rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a cash book and a bank statement side by side with matc

FIG. 13.1. a cash book and a bank statement side by side with matching items marked

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

13.2 CAUSES OF DIFFERENCES; DEBIT AND CREDIT MEMOS

In Causes of Differences; Debit and Credit Memos, we begin with timing differences: deposits in transit and outstanding cheques rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why the balances rarely agree starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Timing differences: deposits in transit and outstanding cheques starts with a concrete question.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Worksheet. a working paper, not a formal report, that lays out the trial balance, adjustments and statement figures in columns

Worksheet names one specific idea needed here.

Ten-column worksheet. a worksheet with five pairs of debit and credit columns, from unadjusted trial balance to balance sheet

Ten-column worksheet names one specific idea needed here.

Footting. adding up a column of figures to get its total

Footting names one specific idea needed here.

The worksheet as a working paper starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

When and by whom it is prepared starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. The Worksheet addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

9.1 WHAT A WORKSHEET IS AND WHY IT HELPS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Worksheet** means a working paper, not a formal report, that lays out the trial balance, adjustments and statement figures in columns. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Ten-column worksheet** means a worksheet with five pairs of debit and credit columns, from unadjusted trial balance to balance sheet. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Footting** means adding up a column of figures to get its total. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In What a Worksheet Is and Why It Helps, we begin with the worksheet as a working paper rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

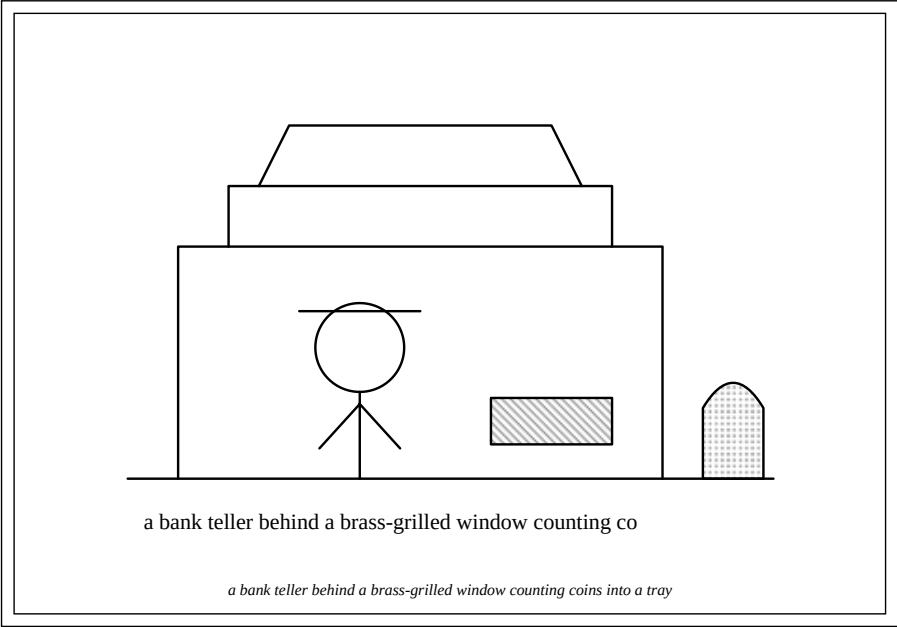
Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In What a Worksheet Is and Why It Helps, we begin with when and by whom it is prepared rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



CHAPTER XIII

Bank Reconciliation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

arrows showing which accounts move to which statement c

FIG. 9.2. arrows showing which accounts move to which statement column

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

A SERVICE COMPANY WORKED THROUGH

In A Service Company Worked Through, we begin with filling every column for the workshop rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In A Service Company Worked Through, we begin with finding net income as the balancing figure rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Filling every column for the workshop starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Finding net income as the balancing figure starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Cash Book and Cash Disbursements, we begin with cash disbursements journal rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. May 2024. Credit purchases: 3 May Padma Books Ltd Tk 120,000; 11 May Jamuna Distributors Tk 85,000; 19 May Padma Books Ltd Tk 60,000; 27 May Surma Stationers Tk 45,000 (total Tk 310,000). Credit sales: 4 May Dhaka Public School Tk 70,000; 13 May Green Valley College Tk 95,000; 22 May Notun Library Tk 40,000 (total Tk 205,000). Bank receipts: 9 May cash sales banked Tk 150,000; 20 May Dhaka Public School Tk 70,000; 28 May Green Valley College Tk 95,000 (total Tk 315,000). Bank payments: 15 May Padma Books Ltd, cheque 5001 Tk 120,000; 17 May rent, cheque 5002 Tk 12,000; 25 May wages, cheque 5003 Tk 35,000; 30 May Jamuna Distributors, cheque 5004 Tk 85,000 (total Tk 252,000). Bank balance at 1 May Tk 250,000; cash book balance at 31 May Tk 313,000. Unpaid at 31 May: Padma Books Ltd Tk 60,000 and Surma Stationers Tk 45,000; Notun Library owes Tk 40,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Cash disbursements journal starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

The Worksheet is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

09.T1 What is the central problem that this chapter method is designed to solve?

09.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

VisiCalc, the first spreadsheet program for personal computers, was released in 1979 for the Apple II by Dan Bricklin and Bob Frankston. Search: VisiCalc 1979 Bricklin Frankston paper ledger. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

09.R1 State the main rule in your own words and apply it to a new small example.

09.R2 What check would you perform before accepting the result?

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Why Special Journals Exist, we begin with the general journal still has a place rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the small, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a purchases journal and a sales journal with their columns

FIG. 12.1. a purchases journal and a sales journal with their columns

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

12.2 PURCHASES AND SALES JOURNALS

In Purchases and Sales Journals, we begin with recording purchases on credit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The general journal still has a place starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Recording purchases on credit starts with a concrete question.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Closing entry. a journal entry at the end of a period that moves a temporary account's balance to equity

Closing entry names one specific idea needed here.

Temporary account. an account for revenue, expense or drawings that is closed to zero at the end of each period

Temporary account names one specific idea needed here.

Permanent account. an account for an asset, liability or owner's capital whose balance carries into the next period

Permanent account names one specific idea needed here.

Income summary. a temporary account that collects revenue and expenses before the net result moves to capital

Income summary names one specific idea needed here.

Reversing entry. an entry made on the first day of a new period that cancels an earlier adjusting entry

Reversing entry names one specific idea needed here.

Income statement and equity statement from the worksheet starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Balance sheet from the worksheet starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Closing the Books addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

10.1 PREPARING THE STATEMENTS FROM THE WORKSHEET

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Closing entry** means a journal entry at the end of a period that moves a temporary account's balance to equity. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Temporary account** means an account for revenue, expense or drawings that is closed to zero at the end of each period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Permanent account** means an account for an asset, liability or owner's capital whose balance carries into the next period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Income summary** means a temporary account that collects revenue and expenses before the net result moves to capital. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

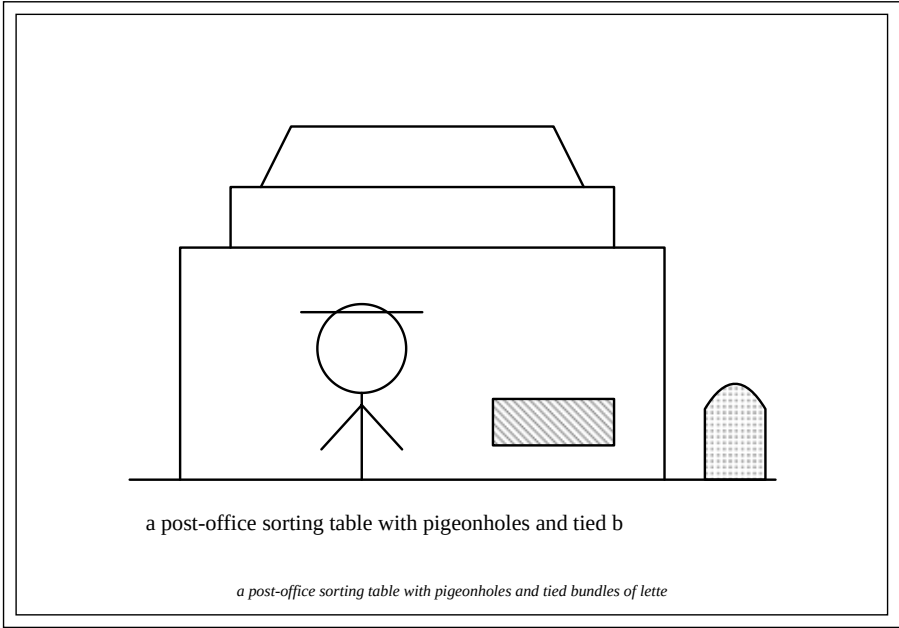
The term **Reversing entry** means an entry made on the first day of a new period that cancels an earlier adjusting entry. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Preparing the Statements from the Worksheet, we begin with income statement and equity statement from the worksheet rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Preparing the Statements from the Worksheet, we begin with balance sheet from the worksheet rather than a list of rules. The first task is to identify the item



The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

before-and-after view of temporary and permanent account

FIG. 10.2. before-and-after view of temporary and permanent accounts

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

10.3 REVERSING ENTRIES

In Reversing Entries, we begin with what a reversing entry undoes rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Reversing Entries, we begin with when reversing is optional rather than a list of rules. The first task is to identify the item or event being described and to

The figure shows the same relationship in a compact visual form.

What a reversing entry undoes starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

When reversing is optional starts with a concrete question.

CHAPTER XII

Special Journals and the Cash Book

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

IN HISTORY

Amazon began selling books online from Seattle in July 1995, an example of a merchandising firm built on buying and reselling goods. Search: Amazon 1995 first books sold online. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

The historical case shows why careful records matter beyond a textbook example.

REVIEW QUESTIONS

- 11.R1 State the main rule in your own words and apply it to a new small example.
- 11.R2 What check would you perform before accepting the result?

- A further check keeps the rule tied to the facts.
- A further check keeps the rule tied to the facts.
- A further check keeps the rule tied to the facts.
- A further check keeps the rule tied to the facts.
- A further check keeps the rule tied to the facts.
- A further check keeps the rule tied to the facts.
- A further check keeps the rule tied to the facts.
- A further check keeps the rule tied to the facts.
- A further check keeps the rule tied to the facts.
- A further check keeps the rule tied to the facts.

- Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.
- Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.
- Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.
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* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Year ended 31 December 2024, book sales. Sales Tk 3,100,000; sales returns Tk 40,000; inventory at 1 January Tk 180,000; purchases Tk 1,900,000; freight-in Tk 30,000; purchase returns Tk 25,000; inventory at 31 December Tk 210,000. Selling expenses: wages Tk 420,000; advertising Tk 60,000; delivery Tk 36,000. Administrative expenses: rent Tk 144,000; utilities Tk 48,000; insurance Tk 36,000; supplies Tk 24,000; depreciation Tk 45,000. Interest expense Tk 36,000. By code: net sales Tk 3,060,000; goods available Tk 2,085,000; cost of goods sold Tk 1,875,000; gross profit Tk 1,185,000; operating expenses Tk 813,000; operating profit Tk 372,000; net income Tk 336,000. Balance sheet at 31 December 2024: cash Tk 330,000; accounts receivable Tk 140,000; merchandise inventory Tk 210,000; supplies Tk 12,000; prepaid insurance Tk 18,000; equipment Tk 450,000 less accumulated depreciation Tk 90,000. Accounts payable Tk 160,000; wages payable Tk 14,000; unearned revenue Tk 10,000; bank loan Tk 300,000 repayable in three yearly instalments of Tk 100,000 from 2025 to 2027, so Tk 100,000 is current and Tk 200,000 is non-current. Total assets Tk 1,070,000; owner's capital at 1 January Tk 370,000; drawings Tk 120,000; closing capital Tk 586,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

IN HISTORY

The historical case shows why careful records matter beyond a textbook example.

The British tax year begins on 6 April because of the calendar change of 1752, when eleven days were dropped and the old year-end of 25 March was moved forward. Search: why UK tax year starts 6 April 1752 calendar. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 10.R1 State the main rule in your own words and apply it to a new small example.
- 10.R2 What check would you perform before accepting the result?

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a classified income statement with section brackets

FIG. 11.2. a classified income statement with section brackets

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

11.3 THE CLASSIFIED INCOME STATEMENT

In The Classified Income Statement, we begin with net sales, cost of goods sold and gross profit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Classified Income Statement, we begin with operating expenses and net income rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Net sales, cost of goods sold and gross profit starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Operating expenses and net income starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Merchandise inventory. the goods a merchandising firm holds for resale

Merchandise inventory names one specific idea needed here.

Purchases. the cost of goods bought during the period for resale
Purchases names one specific idea needed here.

Sales. the selling price of goods sold to customers during the period

Sales names one specific idea needed here.

Sales return. goods that a customer sends back, reducing sales

Sales return names one specific idea needed here.

Purchase return. goods that the firm sends back to a supplier, reducing purchases

Purchase return names one specific idea needed here.

Freight-in. the cost of carrying purchased goods to the firm's premises

Freight-in names one specific idea needed here.

Cost of goods sold. the cost of the goods that were sold during the period

Cost of goods sold names one specific idea needed here.

Gross profit. net sales less cost of goods sold

Gross profit names one specific idea needed here.

Product cost. a cost included in the cost of the goods themselves
Product cost names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Merchandising Company Accounts and Classified Statements addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

11.1 BUYING AND SELLING GOODS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Merchandise inventory** means the goods a merchandising firm holds for resale. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Purchases** means the cost of goods bought during the period for resale. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sales** means the selling price of goods sold to customers during the period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sales return** means goods that a customer sends back, reducing sales. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Purchase return** means goods that the firm sends back to a supplier, reducing purchases. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Freight-in** means the cost of carrying purchased goods to the firm's premises. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cost of goods sold** means the cost of the goods that were sold during the period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Gross profit** means net sales less cost of goods sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Product cost** means a cost included in the cost of the goods themselves. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.